

Related Party Transaction Risk

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Application and Definitions

1.1

This Part applies to:

1. (1) a UK bank ;
2. (2) a building society ;
3. (3) an overseas firm that:
 1. (a) [deleted.]
 2. (b) has a Part 4A permission that includes permission to carry out accepting deposits ; and
 4. (4) a CRR consolidation entity as if it were a firm.

1.2

In this Part the following definitions shall apply:

close family member

means in relation to a natural person (?A?):

1. (a) A?s spouse or civil partner;
2. (b) any other person with whom A lives as partner in an enduring family relationship;
3. (c) A?s children or step-children;
4. (d) any children or step-children of a person within (b) (and who are not children or step-children of A) who live with A and have not attained the age of 18; and
5. (e) A?s parents.

related parties

means in relation to a firm :

1. (a) any person that it controls ;
2. (b) its affiliated companies ;
3. (c) its and its affiliated companies? controllers;
4. (d) its and its affiliated companies? directors;
5. (e) its and its affiliated companies? senior management;
6. (f) its and its affiliated companies? key employees;
7. (g) close family members of any natural person listed in (a) to (f) above;
8. (h) direct and related interests of any person listed in (a) to (g) above, which includes a commercial entity in which

a member of the _management body_ or any of their _close family members_ :

1. (i) has a _qualifying holding_ of 10% or more of capital or of voting rights;
2. (ii) exercises significant influence;
3. (iii) holds a senior management position; or
4. (iv) is a member of management body; and
9. (i) any person that would fall into (a) to (h) above after the relevant _transaction_ has occurred.

[Note: Art. 88(1) of the _CRD_]

transaction

means any transaction or arrangement including:

1. (a) any arrangement or circumstance that gives rise to or varies an on-balance sheet or off-balance sheet asset or liability (whether contingent or otherwise);
2. (b) dealings such as service contracts, as set acquisitions and disposals, construction contracts, lease agreements, derivative transactions, borrowings and write-offs.

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Related Party Transaction Risk

2.1

A _firm_ must enter into _transactions_ with _related parties_ at market value or on terms no more favourable than would be agreed if the _transaction_ was not with a _related party_.

2.2

2.1 does not apply to beneficial terms that are part of an overall remuneration package such as favourable interest rates for employee loans.

2.3

A _firm_ must establish, implement and maintain effective policies and procedures to identify, evaluate and manage risks arising out of _transactions_ with its _related parties_.

2.4

In meeting 2.3, a _firm's_ policies and procedures on _related party transactions_ must:

1. (1) prevent a _related party_ from taking part in the _firm's_ decision making process in relation to any _transactions_ with that _related party_ ;
2. (2) set a materiality threshold above which _transactions_ with _related parties_ receive prior approval from the _firm's_ management body;
3. (3) ensure that the _firm_ records and monitors the details and amounts of any _related party_ transactions_ using an independent credit review or audit process; and
4. (4) only permit exceptions to those policies and procedures if reported to the _firm's_ senior management_ or _management body_ as appropriate.

2.5

A _firm_ must provide the _PRA_ with details on exposures to _related parties_ if requested by the _PRA_. The details

must be provided by the date set by the _PRA_ at the time of the request.

[Note: Art. 88(1) of the _CRD_]